

ASCII MASTER FLOW – PANEL 1/12: Fiscal-federal gaps and the constitutional article chain

ROOT PROBLEM

Union has broader buoyant taxes; States carry service-heavy expenditure duties.

VERTICAL IMBALANCE

Union versus all States -> size of States' collective share.

HORIZONTAL IMBALANCE

differences among States -> inter se distribution formula.

ARTICLE CHAIN

270 divisible taxes | 271 Union surcharges | 275 grants-in-aid

279 net proceeds and CAG certification | 280 Finance Commission

281 report + explanatory memorandum | 282 public-purpose grants.

CORE DISTINCTION

gross tax revenue != net proceeds != divisible pool != State share != grants.

MUST REMEMBER: Keep Article 280 Finance Commission, State Finance Commissions and the Article 279A GST Council institutionally and functionally distinct.

CONSTITUTION

President constitutes every fifth year or earlier if necessary.

Chairman + four other members.

FINANCE COMMISSION ACT, 1951

Chairman -> public-affairs experience.

Other members -> judicial qualification | government finance/accounts
| financial administration | economics.

OPERATING DESIGN

President appoints and fixes terms through constituting order

-> Commission determines procedure -> civil-court-type evidentiary powers.

ARTICLE 281

recommendations + explanatory memorandum on action taken

-> laid before each House of Parliament.

LIMIT

recommendations are expert and advisory, not self-executing decrees.

ASCII MASTER FLOW – PANEL 3/12: Divisible pool and two-stage tax devolution

GROSS UNION TAX COLLECTION

minus collection cost -> CAG-certified net proceeds.

EXCLUSIONS

Article 271 surcharges + applicable specific-purpose cesses.

ARTICLE 270 DIVISIBLE POOL

-> vertical share for all States

-> horizontal allocation among States.

CALCULATION FIREWALL

State X devolution = divisible pool x vertical percentage x State share.

TRAP

41% applies to shareable net proceeds, not gross tax revenue.

ASCII MASTER FLOW – PANEL 4/12: Horizontal formula: equity, cost and incentives

FORMULA PURPOSES

need/equity | service cost | ecology | demographic incentive | contribution.

FC-15, 2021-26

income distance 45 | population 15 | area 15 | demographic 12.5
| forest/ecology 10 | tax/fiscal effort 2.5.

FC-16, 2026-31

GSDP distance 42.5 | population 17.5 | demographic 10 | area 10
| forest 10 | GDP contribution 10.

TEST

equity remains dominant, but contribution gains explicit weight.

ARTICLE 275

Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants.

FINANCE COMMISSION ROLE

recommend principles governing Article 275 grants and award-specific grant categories within terms of reference.

ARTICLE 282

Union or State may make grants for any public purpose even beyond the ordinary legislative field.

Bhim Singh (2010)

supports the breadth of Article 282 public-purpose grants.

TAX DEVOLUTION

share in common tax pool
formula entitlement

GRANT

transfer for need/purpose/design
may be conditional or category-specific.

LIMIT

Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.

ASCII MASTER FLOW – PANEL 6/12: Local-body augmentation through State Finance Commissions

73RD AND 74TH AMENDMENT LINK

Article 280(3)(bb) -> augment State Consolidated Fund for Panchayats.

Article 280(3)(c) -> augment State Consolidated Fund for Municipalities.

TEXTUAL BASIS

recommendations of the State Finance Commission under Articles 243I and 243Y.

FLOW

local functions and finances -> SFC assessment

-> Union Finance Commission augmentation recommendation

-> Union budget/guidelines -> State fund -> eligible local bodies.

ACCOUNTABILITY

accounts + audit + timely SFCs + transparent release + service outcomes.

LIMIT

Union local-body grants supplement; they do not replace State devolution, own revenue or the constitutional role of State Finance Commissions.

CLOSE DISTINCTION: Vertical devolution applies to Article 270 net proceeds, not gross tax revenue; Article 271 surcharges and applicable cesses stay outside the divisible pool.

ASCII MASTER FLOW – PANEL 7/12: Disaster finance: response, mitigation and release controls

DISASTER-MANAGEMENT FINANCE

Finance Commission works with the Disaster Management Act framework.

STATE LEVEL

SDRF response + SDMF mitigation.

NATIONAL LEVEL

NDRF response + NDMF mitigation.

FC-16 FIVE-YEAR ENVELOPES

State funds: Rs 2,04,401 crore | national funds: Rs 79,406 crore.

CONTROL

award envelope != annual budget != release != expenditure.

Conditions, contribution ratios, accounts and events govern access.

ASCII MASTER FLOW – PANEL 8/12: FC-14, FC-15 and FC-16: dated award trajectory

FOURTEENTH FINANCE COMMISSION: 2015-20

States' vertical share raised from 32% to 42%.

FIFTEENTH FINANCE COMMISSION: 2021-26

41% vertical share; six horizontal criteria

including demographic performance, forest/ecology and tax/fiscal effort.

SIXTEENTH FINANCE COMMISSION

constituted 31 December 2023 -> report submitted 17 November 2025

-> award period 2026-27 to 2030-31

-> Explanatory Memorandum tabled 1 February 2026.

DATED CONTROL

41% vertical share accepted for 2026-31.

Per-capita GSDP distance carries the largest horizontal weight, 42.5%;

GDP contribution appears with 10% weight.

LIMIT

report recommendation, government acceptance and annual implementation must remain separate.

ASCII MASTER FLOW – PANEL 9/12: FC-16 grants, fiscal roadmap and response status

FC-16 REPORT -> GOVERNMENT RESPONSE

41% vertical share + revised horizontal formula: accepted.

Local-body and disaster grant designs: accepted.

3% State deficit baseline: accepted in principle.

Union 3.5% path and wider reforms: separate examination.

No RDG, sector or State-specific grants recommended: taken note of.

FY 2026-27 BUDGET

Rs 1.4 lakh crore for local-body and disaster grants.

STATUS RULE

recommended != accepted != budgeted != released.

ASCII MASTER FLOW – PANEL 10/12: Cesses, surcharges and the shrinking-base debate

CONSTITUTIONAL EXCLUSION

Article 271 surcharge and applicable specific-purpose cesses stay outside sharing.

MECHANISM

more excluded levies -> divisible pool may lag gross tax revenue

-> 41% operates on a narrower base.

FC-16 POSITION

no cap or inclusion recommendation; annual disclosure of CAG-certified net proceeds.

REFORM LADDER

disclosure -> periodic review/sunset -> wider fiscal bargain

-> legal or constitutional redesign only if adopted.

ASCII MASTER FLOW – PANEL 11/12: Finance Commission, GST Council, CAG, NITI and SFC

FINANCE COMMISSION

Article 280 | periodic expert body | tax devolution + grants + fiscal advice.

GST COUNCIL

Article 279A | continuing Union-State forum | GST recommendations and bargaining.

Mohit Minerals (2022) -> recommendations persuasive, not legislative commands.

NITI AAYOG

executive-resolution policy platform | strategy and cooperative dialogue
| no Article 280 transfer award.

CAG

Articles 148-151 | audits and certifies net proceeds under Article 279

| does not allocate the divisible pool.

STATE FINANCE COMMISSION

Articles 243I/243Y | State-local fiscal relations every five years.

TRAP

coordination, distribution, strategy, audit and State-local review are different functions.

ASCII MASTER FLOW – PANEL 12/12: PYQ routes, traps, reforms and answer spine

CORE DEBATES

cesses/surcharges and divisible-pool erosion | equity versus incentive
| data lag and climate/ecology costs | tied schemes versus State autonomy
| local-body absorption and accountability | debt and off-budget opacity.

PRELIMS FIREWALL

Chair + four | five years or earlier | President constitutes
| Article 281 requires report and memorandum
| vertical != horizontal | Article 275 != Article 282
| SFC != Union Finance Commission | CAG certifies net proceeds.

PYQ ROUTES

2018 constitution/ToR | 2021 Fourteenth FC | 2023 horizontal criteria
| 2025 Fifteenth FC facts | 2025 Centre-State finance.

MAINS SPINE

define imbalance -> article chain -> transfer mechanism -> award evidence
-> contested incentive/autonomy effect -> implementation qualification
-> predictable, transparent and accountable fiscal-federal verdict.

LEGAL/SOURCE LIMIT: The Sixteenth Finance Commission report and February 2026 Explanatory
Memorandum control the 2026-31 award: 41 per cent vertical share and the accepted
six-criterion horizontal formula.